chain of command but to give leadership to a loose confederation of companies'.

Keshub Mahindra, former chairman of Mahindra & Mahindra and a director at Tata Sons, perhaps best illuminates how Ratan transformed the group: 'Then came the mid-1980s and look at the change that happened in the Tatas. Ratan Tata has to get the credit for this. I don't think we even realize the immense contribution he has made. Consider the expansion of a traditional company like Tata Steel and how far it has come in the last few years. Ditto with Tata Chemicals, Indian Hotels …'

Cohering the Group

Among the several policy goals that Ratan pursued, achieving cohesion and unity in the group occupied pride of place. All others were subcomponents of these two. Creation of a 'group spirit' was his declared focus. He had identified, as early as the late 1970s that the group sorely lacked it and had underscored this in a letter he wrote to JRD in 1981.

When JRD was group chairman, the threat posed by lack of cohesion was not so apparent. He had headed the group for more than half a century and earned a fabled reputation for unchallenged industrial leadership. His stature was so unparalleled that he was even referred to as the 'chairmen's chairman'. Ratan would say later that JRD bound the group together 'through a kind of patriarchal leadership'. He did this though he did not have the 'legal backing to call it a Group'.

JRD's personality and style suited his era. But by the end of the 1980s, the situation had changed and so had the attributes of effective leadership. Airing this concern, Ratan advised JRD that whoever would inherit his position should focus on the need to 'institutionalize rather than personalize systems'. In an interview to a leading journal in 1988, Ratan had said: 'This [unity] was basically provided by JRD Tata as the patriarch, and [it was] maintained by virtue of his relationships with his colleagues. It would be utopian to imagine it'll go on forever. When JRD and his colleagues retire, the new breed of managers will not share the same values: so what has been an informal, historic system will be lost. It needs to be replaced by some other mechanism.'

The lack of unity was spawning several problems. The companies were growing at a painfully sluggish pace and were even engaged in internecine